6BUIS018W – Information Driven Entrepreneurship and Enterprise

Tutorial 3

This tutorial is based on Lecture 3. You can find Lecture 3 notes on Blackboard.

You need to work in groups of three to five. Please discuss the following questions within your group and write down the agreed answers. You should clarify any questions and discuss your answers with your tutor.

The task:

You are planning to open a new on-line music (downloads, CD, Vinyl, etc.) shop. You are fully aware of the strong competition and therefore aim to target a market niche instead of competing with the largest players directly. Analyse your competitive position on the market and prepare a strategic plan according to the following:

1. Investigate your competitors. Visit and compare other on-line music shops (structure, services, order processing, payment methods, shipping, advantages, disadvantages etc.). You may use the following table for the comparison. **Please do not spend more than 15 minutes on this task.**

Site address	**http://www.amazon.co.uk/music**	……	……
Targeted customer segment			
Services offered for the customer			
Placing an order			
Strengths			
Weaknesses			
……..			
……			

2. Based on your comparison, define how you can gain competitive advantage over your competitors and outline a viable business idea.
3. Analyse your competitive position using Porter's 5 forces model. Identify threats and define strategies how you can overcome these threats.
4. Carry out PESTEL analysis. Analyse your macro environment considering political, economic, social, technological, environmental and legal aspects.
5. Carry out a SWOT analysis: identify your Strengths, Weaknesses, Opportunities and Threats. Formulate your basic strategies with the help of a SWOT matrix.
6. Carry out CSF analysis. State your business objectives, critical success factors and measures, and identify requirements towards your e-commerce system. Define the key features of your planned e-commerce solution in order to achieve your business objectives.
7. Find other strategic level analysis tools (in the lecture notes or beyond) that can be applied for your case study. Which one of these would be the most useful and appropriate to use? Carry out strategic analysis using your selected tool.